

Table 9.2. Comparing 401(k) contribution strategies

Strategy	Paris's 401(k) contribution	Employer's contribution	Value at age 65 <u>with</u> match	Value at age 65 <u>without</u> match
A	\$100/month	\$50/month	\$372,827	\$248,552
B	\$200/month	\$100/month	\$745,655	\$497,103
C	\$300/month	\$150/month	\$1,118,482	\$745,655
D	\$500/month	\$250/month*	\$1,739,862	\$1,242,758
E	\$1,000/month	\$500/month*	\$2,982,620	\$2,485,516

*Employer won't contribute more than \$2,400 annually.

This table highlights how different monthly contributions influence the money you will have in retirement. First, it shows just how effective a 401(k) can be in helping you to save. Second, it provides a general idea of how much you should plan to invest per month to reach the amount you would like to have in retirement. In Strategy A, Paris is not as aggressive with her investment and only contributes \$100 per month. Despite these small contributions, she is still able to save \$372,827 by the time she retires. This is not bad, considering the median savings for Americans in their sixties is only \$135,000.⁵⁵ By investing just \$100 a month, Paris will have more than twice the retirement savings of the average American by age sixty-five.

Let's look at Strategy C. Saving just \$300 per month will make Paris more than a million dollars by the time she turns sixty-five. The other thing that may surprise you about Strategy C's

55 Alicia H. Munnell and Anqi Chen, "401(k)/IRA Holdings in 2016: An Update from the SCF," Center for Retirement Research at Boston College, October 2017, Number 17-18, https://crr.bc.edu/wp-content/uploads/2017/10/IB_17-18.pdf.